Marketing communication. This communication is "marketing communication" and is not intended to constitute "investment research" as that term is defined by applicable regulations. This communication has as such not been prepared in accordance with the legal requirements designed to promote the independence of investment research and is not subject to any prohibition on dealing ahead of the dissemination of the communication

Important disclosures and certifications are contained from page 19 of this report

https://research.danskebank.com

23 June 2025

FX Forecast Update

NOK remains vulnerable

Kristoffer Kjær Lomholt
Director
klom@danskebank.dk

Jens Nærvig Pedersen
Director
jenpe@danskebank.dk

Kirstine Kundby-Nielsen
Analyst
kigrn@danskebank.dk

Mohamad Al-Saraf
Associate
moals@danskebank.dk

Allan von Mehren
Director
alvo@danskebank.dk

Stefan Mellin
Chief Analyst
mell@danskebank.se

Jesper Fjärstedt
Senior Analyst
jesppe@danskebank.se

Antti Ilvonen
Associate
ilvo@danskebank.com

Bjørn Tangaa Sillemann
Director
bjsi@danskebank.dk

Emilie Herbo
Assistant Analyst
eherb@danskebank.dk

Danske Bank

FX market overview

Recent developments: stabilisation amid escalating geopolitical tensions

- Since our last FX Forecast Update, 15 May, the dominating theme for markets has been a broad-based stabilisation in risk appetite. The shift is largely driven by receding US recession risks in large driven by the de-escalation of Trump's tariffs and legal scrutiny from the US trade court. The recent escalation in the Middle East conflict has mainly manifested a response in energy markets. Despite higher oil prices, receding US recession risks, and solid US equity sentiment – typically USD positive forces – the currency continues to show structural weakness. Data shows cooling inflation and a strong labour market, in large leaving the Fed in a "wait-and-see"-mode. This contrasts a more dovish stance from European counterparts, such as the ECB, the Riksbank, and notably now also Norges Bank, where the focus increasingly has shifted to growth challenges and the room for easing policy.

FX implications: headwind for USD and mixed outlook for Scandies

- Over the past month, the USD has struggled to find persistent support, despite geopolitical tailwinds, due to compelling bearish structural forces, with EUR/USD trading above the 1.15 level. The stabilisation of economic conditions has favoured cyclically sensitive currencies like AUD and CAD. NOK has seen temporary tailwind from rising energy prices and trade easing, while EUR/SEK has strengthened on weak growth data, lower-than-expected inflation, and the June rate cut. EUR/GBP has edged higher, driven by rising signs of UK weakness and its role as a mini-USD.

Outlook: bearish on the USD and Scandies

- We are still bullish on EUR/USD in both the near- and medium term, now targeting a gradual move toward 1.22 over a 12M horizon. In the near term, higher oil prices and stretched short USD positions may lead to uneven dollar depreciation. Longer term, structural challenges like US and euro area political shifts, trade uncertainty, and capital rotation out of US assets suggest significant USD downside. We maintain an upward sloping forecast profile for EUR/NOK, as we see oil support to NOK as a temporary driver and expect a return of headwinds from relative rates and structural challenges. Despite SEK benefits from US-Europe rotation flows, weak growth acts as a SEK negative, leading us to maintain a positively sloping profile for EUR/SEK, with estimates adjusted slightly towards 11.30 over the next 12 months to reflect the Riksbank's dovish cut.

Key risk to our forecasts: greater downside risk to USD than entailed in our projections

- Risks to our forecasts are predominantly tied to the US outlook and the Middle East conflict. If the capital rotation out of US assets continues and a sharp US recession hit, EUR/USD could break substantially higher than our forecast suggests. In this environment, commodity currencies would also face a larger hit. Conversely, persistent resilient US data could make the USD regain strength. Furthermore, elevated oil prices could offer more near-term USD tailwind.

Contents

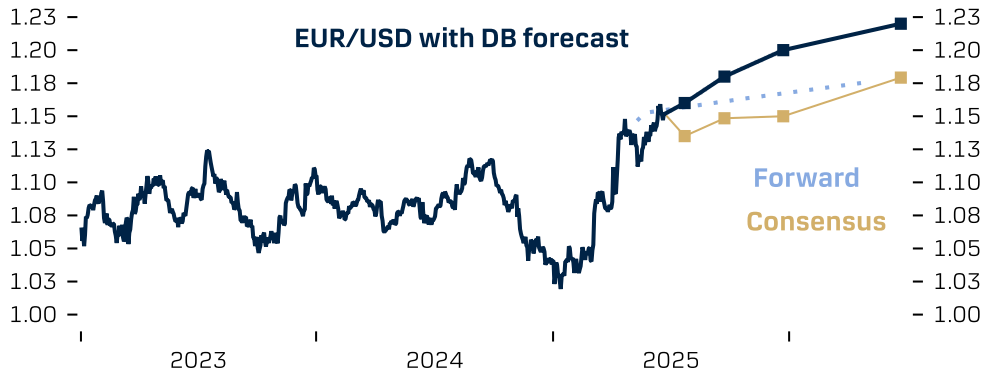
FX market overview 2
EUR/USD 3
EUR/SEK 4
EUR/NOK 5
EUR/DKK 6
EUR/GBP 7
USD/JPY 8
EUR/CHF | EUR/PLN 9
AUD/USD | USD/CAD 10
USD/CNY 11
Oil 12
Danske Bank FX forecasts vs EUR 13
Danske Bank FX forecasts vs DKK 14
Danske Bank FX forecasts vs SEK 15
Danske Bank FX forecasts vs NOK 16
Danske Bank FX forecasts vs USD 17
Danske Bank FX forecasts vs GBP 18
Disclosure and disclaimer 19

Emilie Herbo, Assitant Analyst, eherb@danskebank.dk, Kristoffer Kjær Lomholt, Director, klom@danskebank.dk, +45 45 12 85 29

EUR/USD – structural dynamics to maintain upward pressure

- **Cyclical outlook.** The US economy continues to display cyclical resilience, as underscored by the May jobs report, which pointed to a still-healthy but gradually softening labour market. Structurally, the backdrop remains on a cooling trajectory, with labour supply shrinking – particularly due to lower immigration. Meanwhile, easing tariff tensions have, all else equal, reduced the risk of a significant negative shock to the economy and labour market. On inflation, the May CPI print surprised to the downside, indicating that underlying price pressures are continuing to moderate, with no evidence so far of any tariff-induced inflationary impact. In the euro area, recent PMI figures and Q1 GDP data were solid. However, despite a positive start to the year, we expect growth to remain muted and below potential through the remainder of the year. The May inflation print dipped below the ECB's medium-term target of 2%, reinforcing the view that overall price pressures remain contained.
- **Monetary policy.** The Fed left rates unchanged in June, as expected, and maintained its 'wait-and-see' stance amid elevated uncertainty. We continue to forecast rate cuts in September and December, followed by three additional cuts in 2026, bringing the terminal rate to 3.00–3.25%. The ECB delivered a widely expected 25bp cut in June, accompanied by hawkish signals. We have removed a July cut from our forecast and now expect a final 25bp cut in September.
- **External balances.** Fundamentally, the case for 'US exceptionalism' is fading, leaving the greenback increasingly exposed.
- **Valuation.** We estimate EUR/USD fair value over a 1–3-year horizon to be just above 1.20, making valuation a structural tailwind for the cross. Key factors to watch include potential structural capital rotation out of US assets, the evolving global energy landscape, and euro area fiscal policy.
- **Positioning.** CFTC IMM data shows that non-commercial EUR/USD positioning is broadly neutral.

Forecast: 1.16 (1M), 1.18 (3M), 1.20 (6M), 1.22 (12M)



	1M	3M	6M	12M
Danske Bank	1.16	1.18	1.20	1.22
Consensus	1.14	1.15	1.15	1.18
Forward	1.15	1.16	1.17	1.18

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

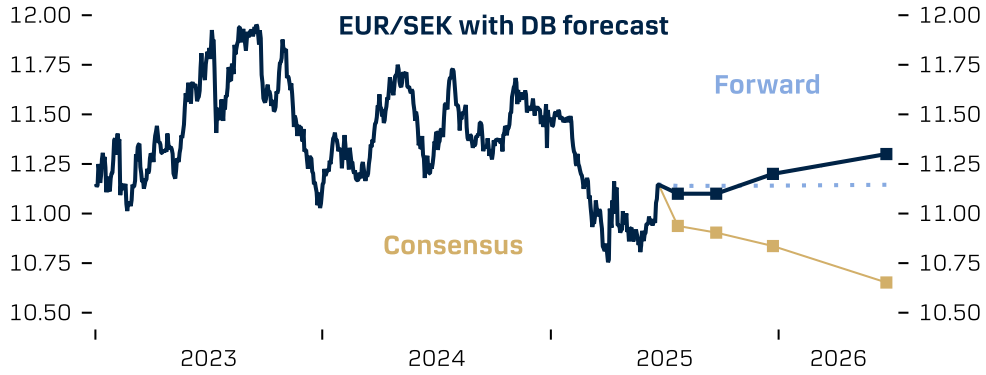
- **Risks.** Risks to our forecast include stronger-than-expected US data. If resilience persists, the USD could regain strength. Furthermore, higher oil prices could be a USD tailwind, especially in the near-term.
- **Conclusion.** We are still bullish on EUR/USD in both the near and medium term, now targeting a gradual move toward 1.22 over the next 12 months. In the near term, a higher oil price and stretched short USD positioning could make the path to further USD depreciation uneven. Over the longer term, we believe the evolving structural backdrop – including seismic shifts in both US and euro area politics, ongoing trade uncertainty, and emerging signs of capital rotation out of US assets – leaves the greenback facing the greatest relative downside.

Mohamad Al-Saraf, Associate, moals@danskebank.dk, +45 45 14 12 24

EUR/SEK – Riksbank outcome supports EUR/SEK

- **Cyclical outlook.** The official GDP data showed an unexpected contraction in the Swedish economy for Q1 (-0.2% q/q), which took most forecasters (us and the Riksbank included) by surprise. Additionally, Q4 growth was revised lower and together with the weaker-than-expected start to the year, this mechanically lowers our FY growth forecast by 0.5%-points. Nevertheless, we expect GDP growth around 1.5% for 2025 and we deem the relative growth outlook as neutral for the SEK.
- **Monetary policy.** The Riksbank announced a rate cut to 2.00% (we expected unchanged) and in the rate path opened for the possibility of another cut with the rate path bottoming out at 1.88% in Q1 2026. We now expect them to stay on hold at 2.0%, given our relatively positive view of the economy (GDP set to bounce back in Q2) and that inflation remains elevated. That said, the bar for another cut seems low judging by the Riksbank's communication and the easing bias evident in the rate path. In our view, the June decision limits the downside risks to EUR/SEK and helps affirm our non-consensus slightly bearish SEK view with rates-implied fair value at 11.10. If anything, the Riksbank seemingly agrees that the krona's appreciation potential has diminished of late, judging by their relatively flat KIX forecast.
- **Flows.** The Swedish savings-investment balance has generated net-buying of foreign equities over time. While these are fundamentally SEK negative (*here* and *here*), there are evidence of a reversal of these flows in 2025. Retail data shows an increase in the European and Swedish equity exposure at the expense of US equities during Q1. The rotation out of the US has continued, albeit at a slower pace, but over the past two months we have seen outflows also out of Swedish equities but a continued/renewed appetite for European and global equities, see *Reading the Markets Sweden, 13 June*.
- **Valuation**. Both our short-term (relative rates) and medium-term (relative macro) model-implied 'fair value' have converged around current 11.10 level.
- **Risks.** Global risks have mounted with geopolitical tensions having joined erratic US trade policies as the predominant, two-sided, risks to the krona.

Forecast: 11.10 (1M), 11.10 (3M), 11.20 (6M), 11.30 (12M)



	1M	3M	6M	12M
Danske Bank	11.10	11.10	11.20	11.30
Consensus	10.94	10.90	10.84	10.65
Forward	11.14	11.14	11.14	11.15

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

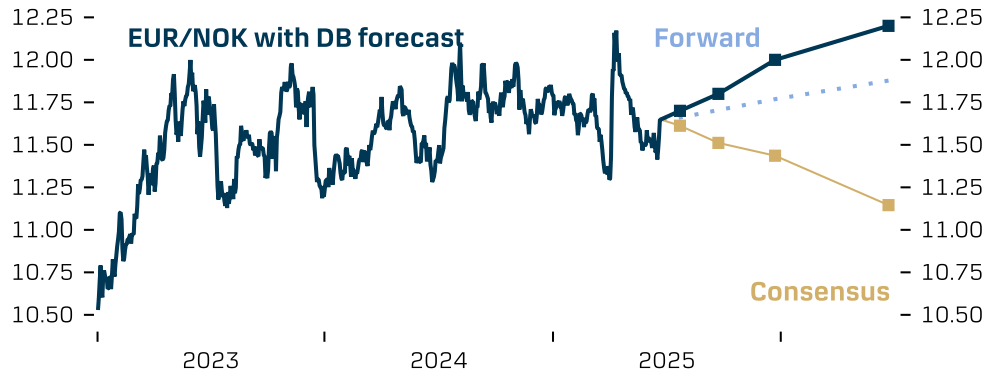
- **Conclusion.** Low Swedish GDP data and subsequent lower-than-expected inflation prepared markets for a June cut and helped to push EUR/SEK from the lower to the upper end of the previous 10.80-11.00 trading range. While we expect the Riksbank to stay on hold from here (at 2.0%), the dovish forward guidance with a low bar for another cut limits the downside risk to EUR/SEK and helps affirm our non-consensus slightly bearish SEK view. From a flow perspective, the rotation out of the US has continued, albeit at a slower pace. Over the past two months we have seen outflows also out of Swedish equities and instead renewed appetite for European and global equities. We do not agree with the general notion that the SEK is fundamentally undervalued and instead deem EUR/SEK as being close to short- and medium-term fair value. We stick to a positively sloping profile for EUR/SEK and lift the estimates slightly as to reflect the Riksbank's dovish cut.

Stefan Mellin, Chief Analyst, mell@danskebank.se, +46 8 568 80592, Jesper Fjärstedt, Senior Analyst, jesppe@danskebank.se, +46 8 568 80585

EUR/NOK – oil support to NOK is temporary

- **Cyclical outlook.** Recent national account figures and the Regional Network Survey for Q2 showed a broad-based pick-up in growth and expected future activity to levels just around trend potential for the mainland economy. Importantly, the rebound seems very much driven by productivity which in turn means the higher activity levels in principle should have no impact on unit labour costs and hence inflation. In that regard core inflation has continued to surprise to the downside vis-à-vis Norges Bank's projections which in turn paved the way for the first rate cut this month. The labour market remains tight albeit we continue to see signs of further loosening.
- **Monetary policy.** At the June monetary policy meeting Norges Bank (NB) surprised markets by delivering the first 25bp rate cut in the cutting cycle bringing the sight deposit rate to 4.25%. NB now guides towards two additional cuts this year and two cuts in 2026 with the key policy rate hitting the upper end of the estimate neutral range by next summer. On eventual policy changes we pencil in two additional rate cuts this year (Sep and Dec) and 3 rate cuts in 2026 bringing the sight deposit rate to 3.0% by end-2026. In our view relative rates is set to be become a negative for NOK FX in the coming years.
- **External balances.** Norway runs a neutral current account balance when adjusting for both petroleum related exports and oil-fund financed fiscal spending. Meanwhile, on a net international investment position basis Norway still runs a sizable deficit when adjusting for the oil fund. NB has become a marginal net NOK buyer in its daily operations as the Ukraine-support package alongside the new FX reserve transactions have flipped NB's daily interests. Fundamentally, though, it does not change our NOK view.
- **Valuation.** We expect fair value estimates for EUR/NOK to trend higher in the years to come following the relatively higher unit labours costs in Norway and the tightening of real rate gaps.
- **Positioning.** We regard NOK positioning to be neutral.

Forecast: 11.70 (1M), 11.80 (3M), 12.00 (6M), 12.20 (12M)



	1M	3M	6M	12M
Danske Bank	11.70	11.80	12.00	12.20
Consensus	11.61	11.51	11.44	11.15
Forward	11.66	11.70	11.77	11.88

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

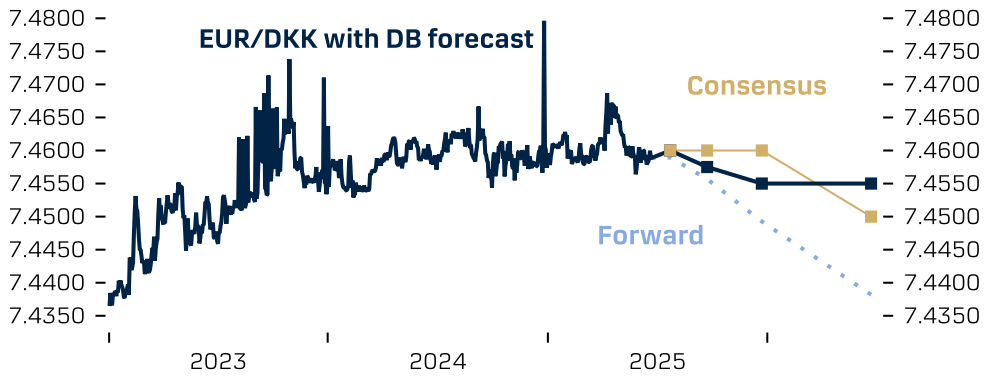
- **Risks.** Risks are closely connected to the global investment environment, Trump announcements on tariffs, the risk of a US recession and any supply side developments that could impact energy prices (e.g. Iran/Israel conflict).
- **Conclusion.** EUR/NOK has suffered from the latest rise in energy prices on the Middle East tensions. Meanwhile, geopolitically driven increases in the short end of the energy curve have very often proven to be "false NOK buy signals" given the negative supply shock/risk appetite nature of the move countering the terms of trade impact. We think it is very likely to be the case also this time around. With Norges Bank launching its cutting cycle relative rates are likely to return as a headwind to NOK, which alongside the structural headwinds stemming from relative unit labour costs and the global investment environment, leaves us with an upward sloping profile for the cross.

Kristoffer Kjær Lomholt, Director, klom@danskebank.dk, +45 45 12 85 29

EUR/DKK – downwards pressure from rising hedge ratios

- **Cyclical outlook.** The cyclical environment has turned neutral-to-negative for EUR/DKK. Equity markets and the USD are recovering, which is negative for EUR/DKK through rebalancing effects. Development in US and in USD/DKK, including developments in tariffs will be important for the earnings potential in the Danish economy considering the significant net exports of pharmaceuticals, but also the large investment in US stocks.
- **Monetary policy.** Danmarks Nationalbank (DN) followed the ECB in June and cut its key policy rate 25bp to 1.60% thereby keeping the spread to ECB's policy rate at current -40bp. EUR/DKK trades in the middle of the historic trading range, which suggests that the current interest rate spread is adequate. We expect the ECB, and therefore also DN, to make a final cut in September, which brings the key policy rate to 1.35%. Overall, we look for DN to keep EUR/DKK in the 7.43-7.47 range using FX intervention.
- **External balances.** Denmark continues to run a large current account surplus, which materialises in a large investment need abroad. The surplus has risen to around 15% of GDP with pharmaceutical exports making a big contribution to the trade surplus.
- **Valuation.** The strong Danish external balances keep a 'DKK appreciation risk premium' vis-à-vis the EUR in the FX forward curve. Recently, the premium has declined on the back of tighter DKK liquidity conditions and a higher EUR/DKK spot.
- **Positioning.** Recent flow and hedging data from the Danish central bank showed that the domestic life and pension sector increased its USD hedge ratio further in April to 73%, while maintaining its EUR hedge ratio. If the sector increases hedge ratios further, it will weigh further on EUR/DKK.

Forecast: 7.4600 (1M), 7.4575 (3M), 7.4550 (6M), 7.4550 (12M)



	1M	3M	6M	12M
Danske Bank	7.4600	7.4575	7.4550	7.4550
Consensus	7.4600	7.4600	7.4600	7.4500
Forward	7.4590	7.4557	7.4493	7.4382

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

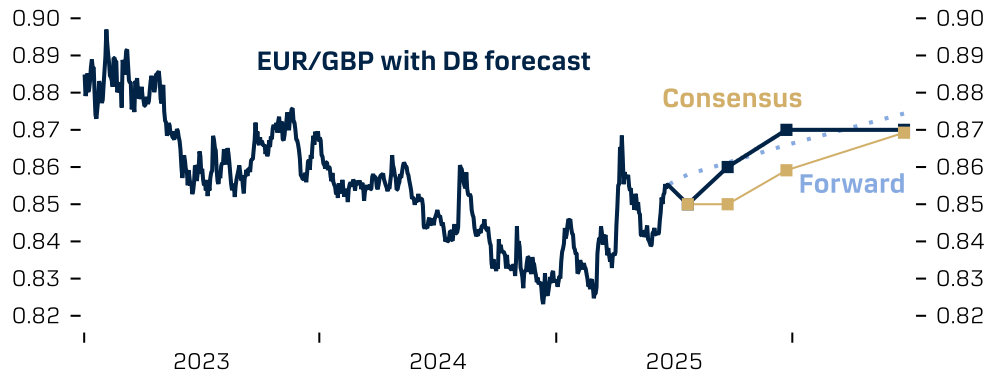
- **Risks.** EUR/DKK remains exposed to large movements in equity and fixed income markets via the FX hedge rebalancing effect. US equity outperformance will tend to keep EUR/DKK low, while higher long-term bond yields will support a higher EUR/DKK. The fiscal shift in Germany may, over time, put strong Danish macroeconomic balances in an even better light.
- **Conclusion.** We look for EUR/DKK to trade around 7.4600 level near-term as global risk sentiment is likely to stay fragile. We see potential for fundamentals and positioning to drag it further down towards 7.4550 level on 12M. Liquidity conditions remained tight in June and kept FX forwards high, but that should only be temporary.

Jens Nærvig Pedersen, Director, jenpe@danskebank.dk, +45 45 14 14 95

EUR/GBP – set for a leg higher

- **Cyclical outlook.** The cyclical backdrop has increasingly shown signs of weakness the past month with growth contracting 0.3% m/m in April. Retail sales have similarly started to surprise to the downside and the labour market is loosening at a quicker pace. Payrolls have dropped consistently, and unfilled vacancies continue to edge lower. This is further amplified by survey data signalling more reluctant hiring likely attributed to the rise in employers' national insurance contributions and increased uncertainty. Private sector wage growth has been weaker than expected - although it remains at elevated levels. Inflation has surprised to the downside the past months with improving signs on underlying inflationary pressure.
- **Monetary policy**. The Bank of England (BoE) held the Bank Rate steady at 4.25% in June, in line with expectations. The vote split was to the dovish side but the broad sentiment in the MPC remains intact, signalling a "careful and gradual" cutting cycle. We continue to expect the BoE to deliver the next 25bp cut in August and deliver quarterly rate cuts at the meetings associated with updated economic projections. We see the risk as skewed towards a swifter cutting cycle amplified by the trade war and more pronounced weakness in the UK economy. We expect the Bank Rate to end the year at 3.75%. We see relative rates as fairly neutral for EUR/GBP.
- **External balances.** The UK runs a large current-account deficit, which makes GBP vulnerable when capital inflows fade; this keeps GBP at risk vs EUR in the wake of souring global risk appetite.
- **Valuation.** Our Brexit-corrected MEVA estimate for EUR/GBP is around 0.83 and current levels are thus close to fair-value.
- **Positioning.** Non-commercial positioning is slightly short EUR/GBP.
- **Risks.** The key risk to seeing EUR/GBP trade substantially higher than our forecast is a sharp sell-off in global risk and/or renewed focus on the UK's fragile fiscal position. Other risks are closely related to the developments in the relative growth outlook between the euro area and the UK.
- **Conclusion.** Since our last update, the pressure on GBP has mounted as the UK economy has showed more pronounced signs of weakness and geopolitical pressures have mounted. We increasingly see domestic factors and the relative growth outlook between the UK and the euro area as becoming GBP negatives. Additionally, we think a global investment environment characterised by elevated uncertainty, widening credit spreads and a positive correlation to a USD negative environment, in our view, favours a weaker GBP. We forecast EUR/GBP to move higher towards 0.87 on a 6-12-month horizon.

Forecast: 0.85 (1M), 0.86 (3M), 0.87 (6M), 0.87 (12M)



	1M	3M	6M	12M
Danske Bank	0.85	0.86	0.87	0.87
Consensus	0.85	0.85	0.86	0.87
Forward	0.86	0.86	0.87	0.87

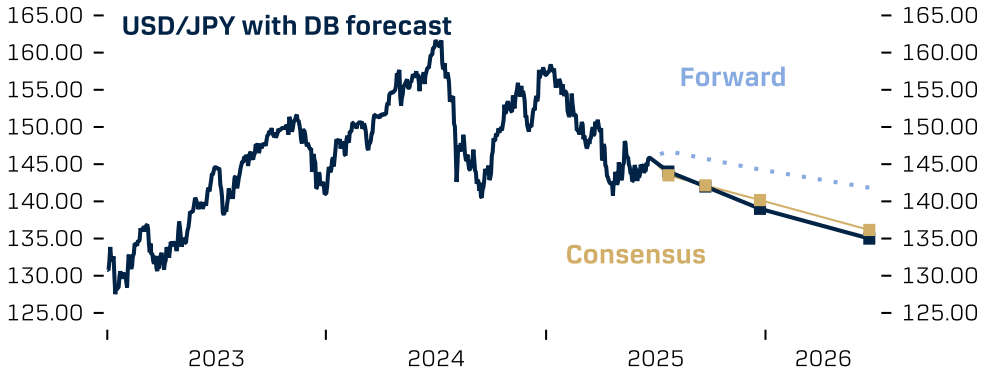
Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

Kirstine Kundby-Nielsen, Analyst, kigrn@danskebank.dk, +45 45 14 15 29

USD/JPY – downside bias intact

- **Cyclical outlook.** The Japanese economy remains relatively resilient, with Q1 GDP contracting less than initially estimated, supported by upward revisions to consumption figures despite ongoing uncertainty around global trade. Annualised Q1 GDP growth was revised to -0.2% from the initial -0.7%. A key factor for the outlook in H2 will be how trade policy evolves following current negotiations – a de-escalation now looks more likely and would be crucial in reducing downside risks and easing one of the main external drags on the economy. We continue to expect domestic demand to firm, underpinned by positive real wage growth that is supporting household consumption, as reflected in the solid wage hikes agreed during the spring negotiations. Meanwhile, Tokyo CPI for May confirms that inflation remains well above target and among the highest in the G10, indicating that underlying price pressures persist.
- **Monetary policy.** At its June meeting, the BoJ unsurprisingly left the policy rate unchanged at 0.50% and announced it will begin slowing bond purchases from April 2026. The meeting was largely a non-event for markets, with roughly a 60% probability still priced for another 25bp rate hike later this year. Our base case remains that the BoJ will hike again in October, though this is contingent on benign trade developments. For USD/JPY, we continue to emphasise that any Fed rate-cutting cycle will remain the dominant driver from a monetary policy perspective.
- **External balances.** The Japanese trade balance, along with terms of trade, has improved markedly since reaching historical lows after the pandemic. Falling imports and rising exports this year have nearly closed the gap caused by the pandemic. The tourism sector appears to be rebounding, which could add some JPY demand to the market.
- **Positioning.** Speculators are stretched long positioned in the JPY.

Forecast: 144 (1M), 142 (3M), 139 (6M), 135 (12M)



	1M	3M	6M	12M
Danske Bank	144	142	139	135
Consensus	144	142	140	136
Forward	147	146	144	142

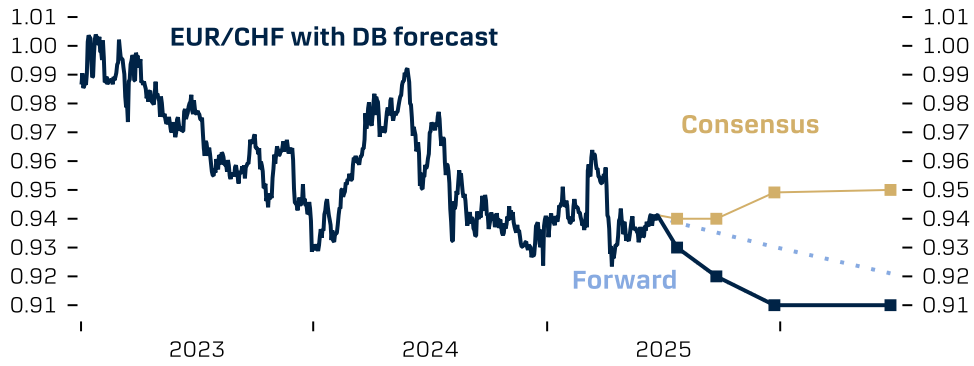
Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** The main risk to our forecast is stronger-than-expected US data, which could delay Fed cuts or reverse the US asset sell-off. An energy shock from geopolitical tensions could also pose upside risk.
- **Conclusion.** We forecast USD/JPY to gradually decline toward 135 over the next 12M. Narrowing rate differentials between Japan and other G10 economies should support JPY appreciation through 2025. A continued Fed easing cycle, coupled with the potential for additional BoJ hikes, could add further downward pressure on the cross. In addition, the JPY continues to benefit from its safe-haven status amid persistent volatility in global risk sentiment and has shown notable resilience to tariff-related headlines relative to other G10 currencies.

Mohamad Al-Saraf, Associate, moals@danskebank.dk, +45 45 14 12 24

EUR/CHF

Forecast: 0.93 (1M), 0.92 (3M), 0.91 (6M), 0.91 (12M)



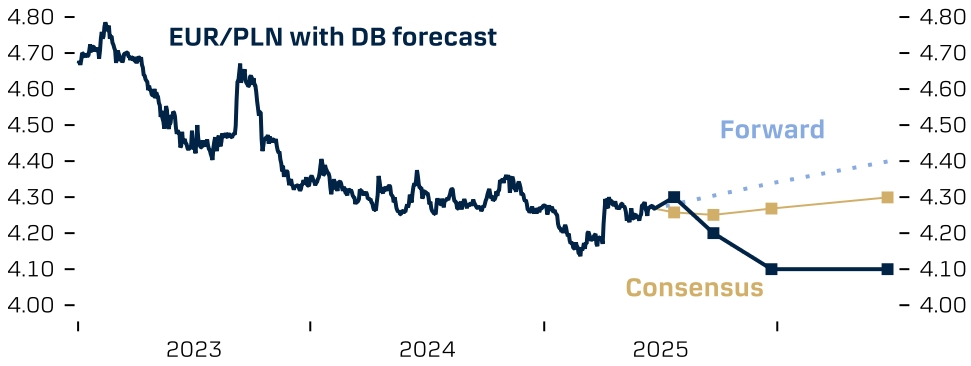
Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- EUR/CHF continues to trade to the heavy side. The cross has only moved slightly higher to just above the 0.94 mark. We continue to be bearish on EUR/CHF, targeting a sustained move towards 0.91 in 6-12 months.
- As expected, the SNB cut policy rate to 0%, which we think marks the final cut this cycle. However, if sustained upward pressure remains on the CHF and inflation undershoots the target, we think a return of a policy rate in negative territory is a possibility. By extension, we expect the interest rate spread vis-à-vis the ECB to narrow, which we think will be a more sustainable headwind for EUR/CHF. Combined with strong fundamentals, we think persistently diverging price levels favour a stronger CHF via the PPP. Additionally, a global investment environment characterised by weak global growth and elevated uncertainty benefits CHF.
- The biggest risk to this call is aggressive FX intervention from the SNB and a U-turn on the policy outlook in the US, which will trigger substantially lower policy uncertainty.

Kirstine Kundby-Nielsen, Analyst, kigrn@danskebank.dk, +45 45 14 15 29

EUR/PLN

Forecast: 4.30 (1M), 4.20 (3M), 4.10 (6M), 4.10 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

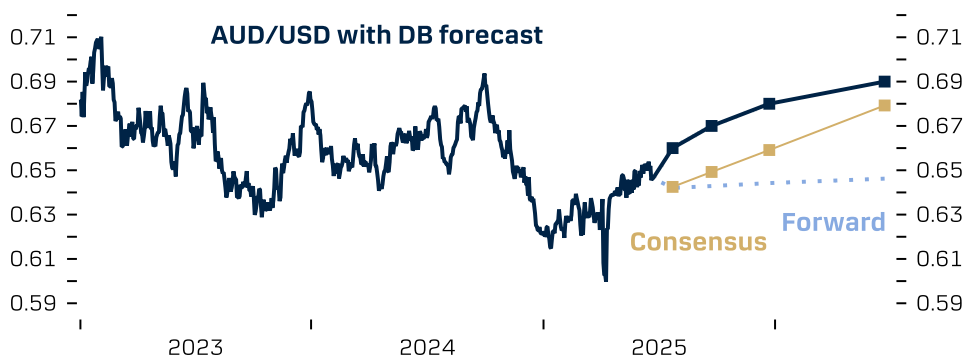
- EUR/PLN remains in consolidation mode, having traded mostly within the 4.25-4.30 interval since early-April. On the one hand supported by the positive yield gap vs most European peers, domestic politics have reemerged as a headwind for the Polish Zloty. Opposition-backed Karol Nawrocki's victory in the presidential election has arguably increased the political risk premia in the Zloty, as Nawrocki has publicly stated that he will continue incumbent president Duda's path of vetoing PM Tusk's EU-friendly reform agenda.
- The National Bank of Poland (NBP) kept the key rate unchanged (5.25%) at the June meeting and Board communication since then suggests that NBP will remain on pause at least over summer, with the potential for two more cuts in autumn. In our view, strong economic momentum and a positive yield differential vs peers continues to favor a stronger Zloty over the medium-term. However, the increased political risk premium in the wake of the presidential election warrants a slightly higher endpoint to our EUR/PLN forecast. In the near-term, we expect the cross to mostly trade within the 4.25-4.30 interval.

Jesper Fjärstedt, Senior Analyst, jesppe@danskebank.se, +46 8 568 80585

Overview | USD | SEK | NOK | DKK | GBP | JPY | CHF | PLN | AUD | CAD | CNY | Oil | Tables

AUD/USD

Forecast: 0.66 (1M), 0.67 (3M), 0.68 (6M), 0.69 (12M)



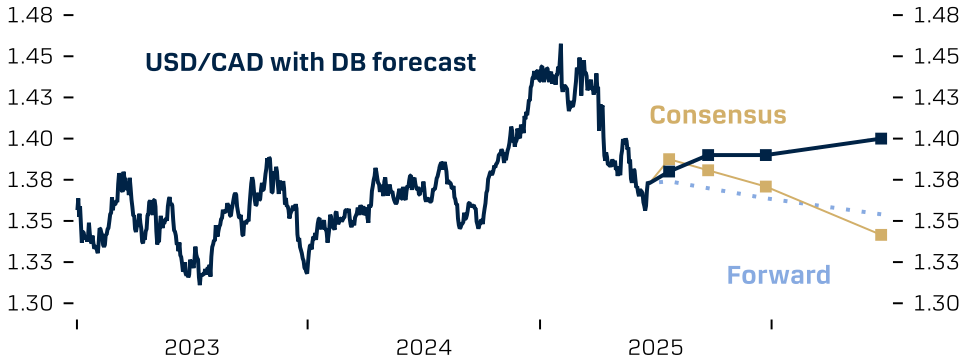
Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- AUD/USD has edged modestly higher over the past month amid broad USD weakness and generally positive risk sentiment.
- The Reserve Bank of Australia (RBA) cut its policy rate by 25bp for the second time in the May meeting. RBA initiated its easing cycle relatively late, and markets expect it to continue towards the second half of the year. Markets price in around 75% probability for a cut already in the next meeting in July and a total of three rate cuts during the rest of 2025.
- The recent geopolitical tensions in the Middle East pose two-sided risks for AUD. Weaker risk sentiment tends to weigh on cyclically sensitive currencies, but fear of disruptions to global energy trade has already lifted the export prices of LNG. Australian terms of trade have still generally weakened in 2025 as prices of steel and metallurgical coal have declined. We maintain our cautiously upward-sloping forecast profile little changed.

Antti Ilvonen, Associate, ilvo@danskebank.com, +358 445 180 297

USD/CAD

Forecast: 1.38 (1M), 1.39 (3M), 1.39 (6M), 1.40 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

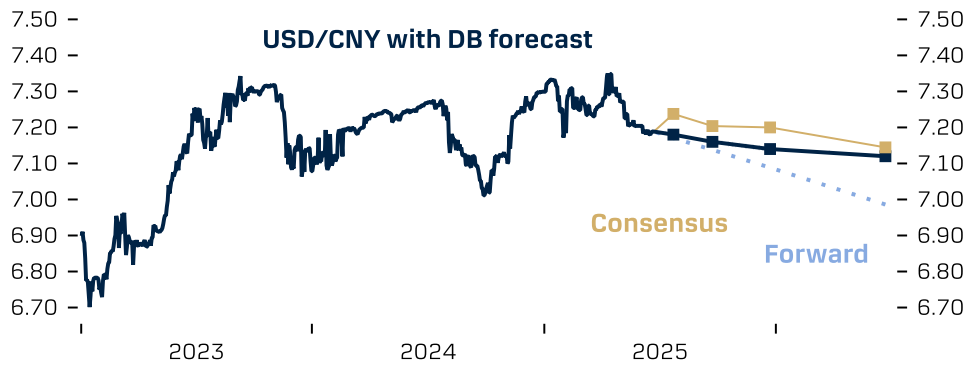
- Both the USD and the CAD have found support from the rise in energy prices over the last month amid rising Middle East tensions. On balance, the CAD leg has benefitted more which alongside diminished trade concerns have also weighed on the cross. Going forward, we see the case for some returned CAD weakness albeit to a smaller extent than previously amid our new call for strategic USD weakness. We maintain an upward sloping profile for USD/CAD.
- At the interim June meeting the BoC held the policy rate at 2.75%, emphasizing its inflation mandate and noting that monetary policy cannot resolve trade uncertainty. The BoC stressed a cautious approach going forward, suggesting that the easing cycle is not yet over. Our base case following eased trade concerns now entails one additional rate cut in October (down from two).

Kristoffer Kjær Lomholt, Director, klom@danskebank.dk, +45 45 12 85 29

USD/CNY – a bit more downside on overall dollar weakness

- **CNY the past month.** USD/CNY has declined moderately from 7.20 to 7.18 in line with overall dollar weakening. PBOC has lowered the fixing over the period from 7.19 to 7.17.
- **Growth outlook.** Economic data was mixed over the past month. Retail sales were stronger than expected in May lifted by stimulus through the trade-in-scheme that provides subsidies for buying a range of durable goods. Housing, on the other hand, has been moderately softer in April and May leaving question marks about the sustainability of the consumer improvement. Exports were weaker in April and May but are expected to bounce back in June on the back of the current US-China trade war truce. We expect continued muddling through with GDP growth of 4.7% this year and 4.8% in 2026. Consensus is 4.5% and 4.2%, respectively, but we expect stimulus will be calibrated to keep growth close to the 5% target.
- **Monetary policy.** PBOC cut the policy rate by 10bp and reduced the Reserve Requirement Ratio for banks by 50bp on 6 May. We expect PBOC to be on hold for a while now. More easing is possible at the end of the year if growth fails to hold up or we see more rate cuts from the Fed than expected. Relative rates to the US are expected to go broadly sideways underpinning only limited direction in the USD/CNY cross.
- **FX policy**. Since summer 2023, PBOC has used the USD/CNY fixing more actively to keep the cross more stable. The fixing sets the middle of the +/-2% daily trading band. Recently the fixing has moved moderately lower signalling some willingness from PBOC to let CNY appreciate slowly but moderately, countering any speculation of a devaluation.
- **Flows.** China has a current account surplus of 2% of GDP driven by a high and rising goods trade surplus close to 7% of GDP. The service balance is negative, though, driven by a pick-up in outbound tourists. Net FDI is clearly negative as inbound FDI is weakening while outbound FDI has increased as Chinese companies go global (EV, battery, solar companies etc.).

Forecast: 7.18 (1M), 7.16 (3M), 7.14 (6M), 7.12 (12M)



	1M	3M	6M	12M
Danske Bank	7.18	7.16	7.14	7.12
Consensus	7.24	7.20	7.20	7.14
Forward	7.17	7.14	7.09	6.99

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

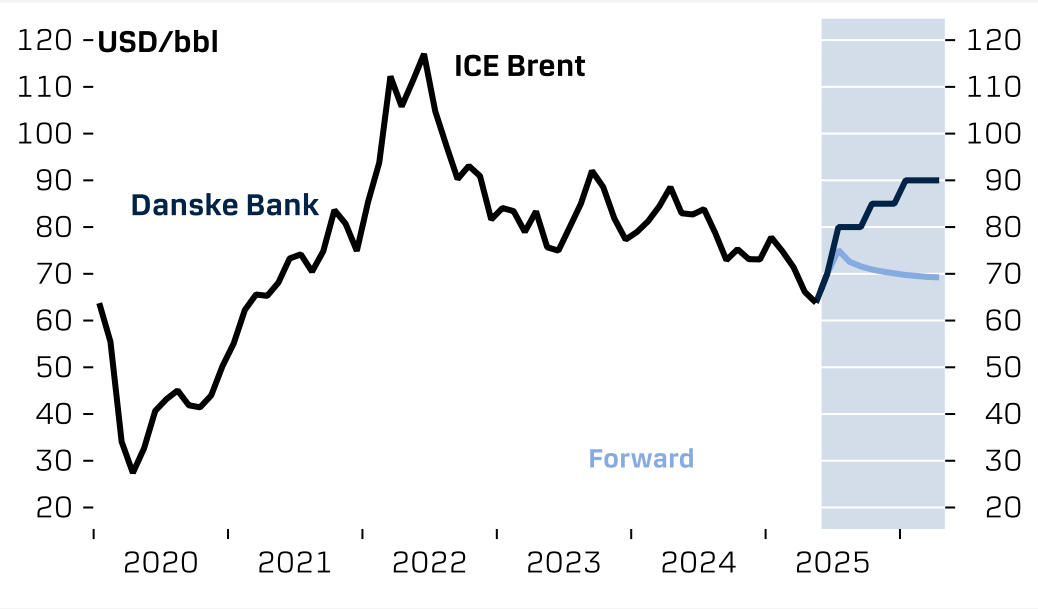
- **Valuation.** We see the CNY as broadly in line with fundamentals as the moderate C/A surplus is counterweighed by low interest rates relative to other countries and continued structural headwinds to growth.
- **Risks.** The uncertainty to the outlook is generally high due to the unpredictable Trump policies. Domestic risks have decreased somewhat as the housing crisis has stabilized, and policymakers have shown a resolve to keep using stimulus to keep growth from falling too far below the 5% target.
- **Conclusion.** We expect USD/CNY will follow the path of the overall direction in the USD as has been the case again lately. Since we have factored in a bit more USD weakness in our new forecast, we also lower the profile for USD/CNY slightly from 7.16 to 7.14 in 6M and from 7.15 to 7.12 in 12M. This implies a lift in the EUR/CNY forecast to 8.69 in 12M (previous 8.58) from the current level of 8.27.

Allan von Mehren, Director, alvo@danskebank.dk, +45 45 12 80 55

Oil – geopolitics back in focus

- **Macro.** Sentiment in the oil market took a 180 degree turn in June following the escalation of the conflict between Iran and Israel. The global oil supply has not been significantly affected, but the oil market has reacted to the increasing chance that Israel might target Iran's key oil terminal or that Iran might force a closing of the Strait of Hormuz.
- Both events would have a significant impact on the global oil supply. The market has managed without exports from Iran before, so the biggest risk would be if traffic through Hormuz was hit as this would also affect exports, e.g. from Saudi Arabia.
- There are a couple of automatic stabilisers in the oil market that would help limit a rise in oil prices. OPEC+ has room to increase oil output further. The group may do it regardless of how the conflict evolves, but the recent price increase does incentivise faster and bigger output hikes. The US could also start selling strategic reserves again like it did in 2022, or as a start stop buying as it has done in recent months.
- Geopolitics is not the only thing that matters for the oil market. The market looks to key deadlines in trade talks, where tariff hikes would hit oil prices and counter the effect of geopolitics.
- **Risks.** The risks to our oil price forecast are high – in particular in the short-term, where the outcome space for the conflict in the Middle East and trade talks remains wide. There is also a chance that Russia's energy exports might be hit by more sanctions.
- **Conclusion.** We look for Brent to average USD80/bbl in Q3, USD85/bbl in Q4 and further USD90/bbl next year. As noted above, the uncertainty is particularly high around the Q3 forecast.

Forecast: 80 (Q3), 85 (Q4), 90 (2026)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

Jens Nærvig Pedersen, Director, jenpe@danskebank.dk, +45 45 14 14 95

Danske Bank FX forecasts vs EUR

G10				Last Update:	23/06/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs EUR					
EUR/USD	1.15	1.16	1.18	1.20	1.22
EUR/JPY	169	167	168	167	165
EUR/GBP	0.86	0.85	0.86	0.87	0.87
EUR/CHF	0.94	0.93	0.92	0.91	0.91
EUR/SEK	11.14	11.10	11.10	11.20	11.30
EUR/NOK	11.64	11.70	11.80	12.00	12.20
EUR/DKK	7.4594	7.4600	7.4575	7.4550	7.4550
EUR/AUD	1.79	1.76	1.76	1.76	1.77
EUR/NZD	1.94	1.90	1.90	1.90	1.91
EUR/CAD	1.58	1.60	1.64	1.67	1.71
EM					
	Spot	+1m	+3m	+6m	+12m
EUR/PLN	4.27	4.30	4.20	4.10	4.10
EUR/HUF	404	400	410	420	430
EUR/CZK	24.8	24.8	24.8	24.7	24.6
EUR/TRY	45.8	46.7	49.0	52.0	57.1
EUR/ZAR	20.8	20.9	21.2	21.5	21.6
EUR/CNY	8.27	8.33	8.45	8.57	8.69
EUR/INR	99.9	100.5	102.3	104.2	106.1

Source: Danske Bank

Danske Bank FX forecasts vs DKK

G10				Last Update:	23/06/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs DKK					
USD/DKK	6.48	6.43	6.32	6.21	6.11
JPY/DKK	4.40	4.47	4.45	4.47	4.53
GBP/DKK	8.71	8.78	8.67	8.57	8.57
CHF/DKK	7.93	8.02	8.11	8.19	8.19
SEK/DKK	0.67	0.67	0.67	0.67	0.66
NOK/DKK	0.64	0.64	0.63	0.62	0.61
EUR/DKK	7.4594	7.4600	7.4575	7.4550	7.4550
AUD/DKK	4.16	4.24	4.23	4.22	4.22
NZD/DKK	3.84	3.92	3.92	3.91	3.91
CAD/DKK	4.71	4.66	4.55	4.47	4.36
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/DKK	1.75	1.73	1.78	1.82	1.82
HUF/DKK	0.18	0.19	0.18	0.18	0.17
CZK/DKK	0.30	0.30	0.30	0.30	0.30
TRY/DKK	0.16	0.16	0.15	0.14	0.13
ZAR/DKK	0.36	0.36	0.35	0.35	0.34
CNY/DKK	0.90	0.90	0.88	0.87	0.86
INR/DKK	0.075	0.074	0.073	0.072	0.070

Source: Danske Bank

Danske Bank FX forecasts vs SEK

G10				Last Update:	23/06/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs SEK					
USD/SEK	9.68	9.57	9.41	9.33	9.26
JPY/SEK	6.57	6.65	6.62	6.71	6.86
GBP/SEK	13.01	13.06	12.91	12.87	12.99
CHF/SEK	11.85	11.94	12.07	12.31	12.42
EUR/SEK	11.14	11.10	11.10	11.20	11.30
NOK/SEK	0.96	0.95	0.94	0.93	0.93
DKK/SEK	1.49	1.49	1.49	1.50	1.52
AUD/SEK	6.21	6.32	6.30	6.35	6.39
NZD/SEK	5.74	5.84	5.83	5.88	5.93
CAD/SEK	7.03	6.93	6.77	6.71	6.62
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/SEK	2.61	2.58	2.64	2.73	2.76
HUF/SEK	2.76	2.78	2.71	2.67	2.63
CZK/SEK	0.45	0.45	0.45	0.45	0.46
TRY/SEK	0.24	0.24	0.23	0.22	0.20
ZAR/SEK	0.54	0.53	0.52	0.52	0.52
CNY/SEK	1.347	1.333	1.314	1.307	1.301
INR/SEK	0.111	0.110	0.108	0.108	0.106

Source: Danske Bank

Danske Bank FX forecasts vs NOK

G10				Last Update:	23/06/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs NOK					
USD/NOK	10.11	10.09	10.00	10.00	10.00
JPY/NOK	6.87	7.00	7.04	7.19	7.41
GBP/NOK	13.59	13.76	13.72	13.79	14.02
CHF/NOK	12.38	12.58	12.83	13.19	13.41
SEK/NOK	1.04	1.05	1.06	1.07	1.08
EUR/NOK	11.64	11.70	11.80	12.00	12.20
DKK/NOK	1.56	1.57	1.58	1.61	1.64
AUD/NOK	6.49	6.66	6.70	6.80	6.90
NZD/NOK	5.99	6.15	6.20	6.30	6.40
CAD/NOK	7.35	7.31	7.19	7.19	7.14
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/NOK	2.73	2.72	2.81	2.93	2.98
HUF/NOK	2.88	2.93	2.88	2.86	2.84
CZK/NOK	0.47	0.47	0.48	0.49	0.50
TRY/NOK	0.25	0.25	0.24	0.23	0.21
ZAR/NOK	0.56	0.56	0.56	0.56	0.56
CNY/NOK	1.41	1.40	1.40	1.40	1.40
INR/NOK	0.12	0.12	0.12	0.12	0.11

Source: Danske Bank

Danske Bank FX forecasts vs USD

G10				Last Update:	23/06/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs USD					
EUR/USD	1.15	1.16	1.18	1.20	1.22
USD/JPY	147	144	142	139	135
GBP/USD	1.34	1.36	1.37	1.38	1.40
USD/CHF	0.82	0.80	0.78	0.76	0.75
USD/SEK	9.68	9.57	9.41	9.33	9.26
USD/NOK	10.11	10.09	10.00	10.00	10.00
USD/DKK	6.48	6.43	6.32	6.21	6.11
AUD/USD	0.64	0.66	0.67	0.68	0.69
NZD/USD	0.59	0.61	0.62	0.63	0.64
USD/CAD	1.38	1.38	1.39	1.39	1.40
EM					
	Spot	+1m	+3m	+6m	+12m
USD/PLN	3.71	3.71	3.56	3.42	3.36
USD/HUF	351	339	347	350	352
USD/CZK	21.57	21.38	21.02	20.58	20.16
USD/TRY	39.73	40.30	41.50	43.30	46.80
USD/ZAR	18.07	18.00	17.96	17.88	17.72
USD/CNY	7.19	7.18	7.16	7.14	7.12
USD/INR	86.80	86.60	86.70	86.80	87.00

Source: Danske Bank

Danske Bank FX forecasts vs GBP

G10				Last Update:	23/06/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs GBP					
GBP/USD	1.34	1.36	1.37	1.38	1.40
GBP/JPY	198	197	195	192	189
EUR/GBP	0.86	0.85	0.86	0.87	0.87
GBP/CHF	1.10	1.09	1.07	1.05	1.05
GBP/SEK	13.01	13.06	12.91	12.87	12.99
GBP/NOK	13.59	13.76	13.72	13.79	14.02
GBP/DKK	8.71	8.78	8.67	8.57	8.57
GBP/AUD	2.09	2.07	2.05	2.03	2.03
GBP/NZD	2.27	2.24	2.21	2.19	2.19
GBP/CAD	1.85	1.88	1.91	1.92	1.96
EM					
	Spot	+1m	+3m	+6m	+12m
GBP/PLN	4.98	5.06	4.88	4.71	4.71
GBP/HUF	471	471	477	483	494
GBP/CZK	28.98	29.18	28.84	28.39	28.28
GBP/TRY	53.44	55.00	56.94	59.72	65.63
GBP/ZAR	24.29	24.56	24.64	24.66	24.85
GBP/CNY	9.66	9.80	9.82	9.85	9.98
GBP/INR	116.65	118.18	118.96	119.72	122.00

Source: Danske Bank

Disclosure and disclaimer

The following disclaimer and disclosure apply to all communication as such, though for the parts that refer to the term "investment recommendation", the disclaimer and disclosure are only applicable as far as the communication falls under the definition in Regulation (EU)No 596/2014. This communication has been prepared by personnel in the LC&I Sales & Trading departments or non-independent Research departments of Danske Bank A/S. The views set forward in this communication may differ from views or opinions in other departments of Danske Bank A/S. It constitutes a short-term view and is subject to change and Danske Bank A/S does not undertake to notify any recipient of this communication of any such change. Details of the producer's previous investment recommendations on the relevant financial instrument and all previous investment recommendations made in the past 12 months by the producer will be available upon request.

LC&I's Sales & Trading departments' or non-independent Research departments' personnel are not independent research analysts, and this communication is not intended to constitute "investment research" as that term is defined by applicable regulations. This communication has as such not been prepared in accordance with the legal requirements designed to promote the independence of investment research and is not subject to any prohibition on dealing ahead of the dissemination of the communication. The personnel in LC&I's Sales & Trading departments or non-independent Research departments may be remunerated based on investment banking revenues. Danske Bank A/S may hold a position or act as market maker in any financial instrument discussed herein. Prices and availability are indicative and may change without notice.

This communication is provided for informational purposes only and should not be considered investment, legal or tax advice. It does not constitute or form part of, and shall under no circumstances be considered as, an offer to sell or a solicitation of an offer to purchase or sell any relevant financial instruments. Danske Bank A/S is not acting as an advisor, fiduciary or agent. Recipients of this communication should obtain advice based on their own individual circumstances from their own tax, financial, legal and other advisors about the risks and merits of any transaction before making an investment decision, and only make such decisions on the basis of the investor's own objectives, experience and resources.

This communication has been prepared independently and solely on the basis of available information that Danske Bank A/S considers to be reliable, but Danske Bank A/S has not independently verified the contents hereof. While reasonable care has been taken to ensure that its contents are not untrue or misleading, no representation or warranty, express or implied, is made as to and no reliance should be placed on the fairness, accuracy, completeness or reasonableness of the information, opinions and projections contained in this communication and Danske Bank A/S, its affiliates and subsidiaries accept no liability whatsoever for any direct or consequential loss, including without limitation any loss of profits, arising from reliance on this communication.

For current disclosures of Danske Bank A/S' interests and potential conflicts of interest regarding issuers and financial instruments subject of investment recommendations please refer to the following webpage: *https://danskeci.com/ci/research/disclosures-and-disclaimers*.

Please note that while information on the great majority of relevant issuers and financial instruments are contained on this website, it may not contain information on all relevant issuers and financial instruments. The absence of information on any relevant issuer or financial instrument should not be seen as an indication that Danske Bank A/S does not have any interests or potential conflicts of interest on the issuer or financial instrument. Please contact your Danske Bank A/S representative for information regarding any issuer subject of investment recommendation that is not mentioned on *https://danskeci.com/ci/research/disclosures-and-disclaimers*.

Danske Bank A/S is authorised and subject to regulation by the Danish Financial Supervisory Authority and is subject to the rules and regulation of the relevant regulators in all other jurisdictions where it conducts business. Danske Bank A/S is subject to limited regulation by the Financial Conduct Authority and the Prudential Regulation Authority (UK). Details on the extent of the regulation by the Financial Conduct Authority and the Prudential Regulation Authority are available from Danske Bank A/S on request.

This communication is protected by copyright and is intended solely for the designated addressee. It may not be reproduced or distributed, in whole or in part, by any recipient for any purpose without Danske Bank A/S' prior written consent.

Disclaimer related to distribution in the United Kingdom

In the United Kingdom, this communication is for distribution only to (I) persons who have professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the 'Order'); (II) high net worth entities falling within article 49(2)(a) to (d) of the Order; or (III) persons who are an elective professional client or a per se professional client under Chapter 3 of the FCA Conduct of Business Sourcebook (all such persons together being referred to as 'Relevant Persons'). In the United Kingdom, this document is directed only at Relevant Persons, and other persons should not act or rely on this document or any of its contents.

Disclaimer related to distribution in the European Economic Area

This communication is being distributed to and is directed only at persons in member states of the European Economic Area ('EEA') who are 'Qualified Investors' within the meaning of Article 2(e) of the Prospectus Regulation (Regulation (EU) 2017/1129) ('Qualified Investors'). Any person in the EEA who receives this document will be deemed to have represented and agreed that it is a Qualified Investor. Any such recipient will also be deemed to have represented and agreed that it has not received this document on behalf of persons in the EEA other than Qualified Investors or persons in the UK and member states (where equivalent legislation exists) for whom the investor has authority to make decisions on a wholly discretionary basis. Danske Bank A/Swill rely on the truth and accuracy of the foregoing representations and agreements. Any person in the EEA who is not a Qualified Investor should not act or rely on this document or any of its contents.

Disclaimer related to distribution in the United States

This communication was created by Danske Bank A/S and is distributed in the United States by Danske Markets Inc., a U.S. registered broker-dealer and subsidiary of Danske Bank A/S, pursuant to SEC Rule 15a-6 and related interpretations issued by the U.S. Securities and Exchange Commission. The communication is intended for distribution in the United States solely to 'U.S. institutional investors' as defined in SEC Rule 15a-6. Danske Markets Inc. accepts responsibility for this investment recommendation in connection with distribution in the United States solely to 'U.S. institutional investors'.

Any U.S. investor recipient of this communication who wishes to purchase or sell any Relevant Financial Instrument may do so only by contacting Danske Markets Inc. directly and should be aware that investing in non-U.S. financial instruments may entail certain risks. Financial instruments of non-U.S. issuers may not be registered with the U.S. Securities and Exchange Commission and may not be subject to the reporting and auditing standards of the U.S. Securities and Exchange Commission.

This communication is for the general information of our clients and is a 'solicitation' only as that term is used within CFTC Rule 23.605 promulgated under the U.S. Commodity Exchange Act. Unless otherwise expressly indicated, this communication does not take into account the investment objectives or financial situation of any particular person.

Report completed: 23 June 2025, 09:30 CEST

Report first disseminated: 23 June 2025, 10:00 CEST